

HOUSE BILL 963

By Hawk

AN ACT to amend Tennessee Code Annotated, Title 9;
Title 54; Title 55 and Title 67, relative to the
allocation of sales tax revenue for the highway
fund.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-103, is amended by adding the
following as a new subsection:

(v)

(1) As used in this subsection (v):

(A) "Base tax revenues" means the revenues generated from the
collection of state sales tax from the sale, use, consumption, distribution,
or storage for use or consumption of new or used motor vehicles and new
or used tires as of the end of the fiscal year of this state immediately prior
to the year in which the highway fund is entitled to receive an allocation of
tax revenue pursuant to this subsection (v); and

(B) "Motor vehicle" and "tire" have the same meanings as defined
in § 67-4-1602.

(2) Notwithstanding the allocations provided for in subsection (a), on July
1, 2025, and on July 1 of each subsequent year, an amount of state sales tax
received under this chapter from the sale, use, consumption, distribution, or
storage for use or consumption of new or used motor vehicles and new or used
tires in excess of base tax revenues must be allocated to and deposited in the

highway fund in an amount equal to the incremental increase in such state sales tax in excess of base tax revenues.

(3) Notwithstanding this subsection (v) to the contrary, no portion of the revenue derived from the increase in the rate of sales tax allocated to educational purposes, pursuant to chapter 529, § 9 of the Public Acts of 1992, and no portion of the revenue derived from the increase in the rate of sales tax from six percent (6%) to seven percent (7%), pursuant to chapter 856, § 4 of the Public Acts of 2002, must be apportioned and distributed pursuant to this subsection (v). The revenue must be allocated as provided in chapter 529, § 9 of the Public Acts of 1992, and chapter 856, § 4 of the Public Acts of 2002, respectively.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.